

NOTICE CLAIMS MADE POLICY

This policy contains limitations, exclusions, conditions, duties and definitions that restrict coverage. Read the entire policy to determine rights and what is covered.

Throughout this policy:

1. "You" and "your" mean the Named Insured shown in the Declarations and any other person or organization qualifying as a Named Insured under this policy.
2. "We", "us", and "our" mean the Company providing this insurance.
3. "Insured" means any person or organization qualifying as an insured under Section II, Who Is An Insured.
4. Words and phrases shown in quotation marks have special meaning and are defined in Section VI, Definitions.

PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE FORM

SECTION I COVERAGES

PRODUCTS/COMPLETED OPERATIONS BODILY INJURY AND PROPERTY DAMAGE LIABILITY

1. Insuring Agreement

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury" or "property damage" included within the "products-completed operations hazard" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury" or "property damage" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Section III – Limits Of Insurance; and
- (2) Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments.

- b. This insurance applies to "bodily injury" and "property damage" only if:

- (1) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";
- (2) The "bodily injury" or "property damage" did not occur before the Retroactive Date, if any, shown in the Declarations or after the end of the policy period; and
- (3) A claim for damages because of the "bodily

injury" or "property damage" is first made against any insured, in accordance with Paragraph c. below, during the policy period or any Extended Reporting Period we provide under Section V – Extended Reporting Periods.

- c. A claim by a person or organization seeking damages will be deemed to have been made at the earlier of the following times:

- (1) When notice of such claim is received and recorded by any insured or by us, whichever comes first; or
- (2) When we make settlement in accordance with Paragraph a. above.

All claims for damages because of "bodily injury" to the same person, including damages claimed by any person or organization for care, loss of services, or death resulting at any time from the "bodily injury", will be deemed to have been made at the time the first of those claims is made against any insured.

All claims for damages because of "property damage" causing loss to the same person or organization will be deemed to have been made at the time the first of those claims is made against any insured.

2. Exclusions

This insurance does not apply to:

a. Expected Or Intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

b. Contractual Liability

"Bodily injury" or "property damage" for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages:

- (1) That the insured would have in the absence of the contract or agreement; or
- (2) Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an "insured contract", reasonable attorneys' fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be damages because of "bodily injury" or "property damage", provided:
 - (a) Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and
 - (b) Such attorneys' fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

- (1) Causing or contributing to the intoxication of any person;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or
- (3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

- (a) The supervision, hiring, employment, training or monitoring of others by that insured; or
- (b) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph (1), (2) or (3) above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving or furnishing alcoholic beverages.

d. Workers' Compensation And Similar Laws

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

e. Employer's Liability

"Bodily injury" to:

- (1) An "employee" of the insured arising out of and in the course of:
 - (a) Employment by the insured; or
 - (b) Performing duties related to the conduct of the insured's business; or
- (2) The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph (1) above.

This exclusion applies whether the insured may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by the insured under an "insured contract".

f. War

"Bodily injury" or "property damage", however caused, arising, directly or indirectly, out of:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

g. Damage To Property

"Property damage" to:

- (1) Property you own, rent or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;
- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;
- (3) Property loaned to you; or
- (4) Personal property in the care, custody or control of the insured.

Paragraph (2) of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs (3) and (4) of this exclusion do not apply to liability assumed under a sidetrack agreement.

h. Damage To Your Product

"Property damage" to "your product" arising out of it or any part of it.

i. Damage To Your Work

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

j. Damage To Impaired Property Or Property Not Physically Injured

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

- (1) A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or
- (2) A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

k. Recall Of Products, Work Or Impaired Property

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

- (1) "Your product";
- (2) "Your work"; or
- (3) "Impaired property";

if such product, work, or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

l. Electronic Data

Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

However, this exclusion does not apply to liability for damages because of "bodily injury".

As used in this exclusion, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

m. Class Action and Representative Actions

Class Action, representative actions or similar multi-plaintiff actions.

SUPPLEMENTARY PAYMENTS

1. We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:

- a. All expenses we incur.
- b. The cost of bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish these bonds.
- c. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$250 a day because of time off from work.
- d. All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.

- e. Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.
- f. All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.

These payments will not reduce the limits of insurance.

- 2. If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:
 - a. The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";
 - b. This insurance applies to such liability assumed by the insured;
 - c. The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";
 - d. The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;
 - e. The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured and the indemnitee; and
 - f. The indemnitee:
 - (1) Agrees in writing to:
 - (a) Cooperate with us in the investigation, settlement or defense of the "suit";
 - (b) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";
 - (c) Notify any other insurer whose coverage is available to the indemnitee; and
 - (d) Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and

- (2) Provides us with written authorization to:

- (a) Obtain records and other information related to the "suit"; and
- (b) Conduct and control the defense of the indemnitee in such "suit".

So long as the above conditions are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments. Notwithstanding the provisions of Paragraph **2.b.(2)** of Section **I – Coverages – Bodily Injury And Property Damage Liability**, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the limits of insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when we have used up the applicable limit of insurance in the payment of judgments or settlements; or the conditions set forth above, or the terms of the agreement described in Paragraph **f.** above, are no longer met.

SECTION II
WHO IS AN INSURED

1. If you are designated in the Declarations as:
 - a. An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.
 - b. A partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.
 - c. A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.
 - d. An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.
 2. Each of the following is also an insured:
 - a. Your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" is an insured for:
 - (1) "Bodily injury":
 - (a) To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), or to a co-"employee" while that co-"employee" is either in the course of his or her employment or performing duties related to the conduct of your business;
 - (b) To the spouse, child, parent, brother or sister of that co-"employee" as a consequence of Paragraph (a) above;
 - (c) For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraph (a) or (b) above; or
 - (d) Arising out of his or her providing or failing to provide professional health care services.
 - (2) "Property damage" to property:
 - (a) Owned, occupied or used by;
 - (b) Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by;
you, any of your "employees", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).
 - b. Any person (other than your "employee") or any organization while acting as your real estate manager.
 - c. Any person or organization having proper temporary custody of your property if you die, but only:
 - (1) With respect to liability arising out of the maintenance or use of that property; and
 - (2) Until your legal representative has been appointed.
 - d. Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this Coverage Part.
 3. Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:
 - a. Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier; and
 - b. Coverage does not apply to "bodily injury" or "property damage" that occurred before you acquired or formed the organization.
- No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

SECTION III
LIMITS OF INSURANCE

1. The Limits of Insurance shown in the Declarations and the rules below fix the most we will pay regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. The Aggregate Limit is the most we will pay for damages because of "bodily injury" and "property damage" included in the "products-completed operations hazard".
3. Subject to Paragraph 2. above, the Each Occurrence Limit is the most we will pay for damages because of all "bodily injury" and "property damage" arising out of any one "occurrence".

The Limits of Insurance of this Coverage Part apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

SECTION IV
PRODUCTS/COMPLETED OPERATIONS LIABILITY
CONDITIONS

1. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this Coverage Part.

2. Duties In The Event Of Occurrence, Claim Or Suit

a. You must see to it that we are notified as soon as practicable of an "occurrence" which may result in a claim. To the extent possible, notice should include:

- (1) How, when and where the "occurrence" took place;
- (2) The names and addresses of any injured persons and witnesses; and
- (3) The nature and location of any injury or damage arising out of the "occurrence".

Notice of an "occurrence" is not notice of a claim.

b. If a claim is received by any insured, you must:

- (1) Immediately record the specifics of the claim and the date received; and
- (2) Notify us as soon as practicable.

You must see to it that we receive written notice of the claim as soon as practicable.

c. You and any other involved insured must:

- (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
- (2) Authorize us to obtain records and other information;
- (3) Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and
- (4) Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of injury or damage to which this insurance may also apply.

d. No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

3. Legal Action Against Us

No person or organization has a right under this Coverage Part:

a. To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or

b. To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Coverage Part or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

4. Other Insurance

If other valid and collectible insurance is available to the insured for a loss we cover under this Coverage Part, our obligations are limited as follows:

a. Primary Insurance

This insurance is primary except when Paragraph **b.** below applies. If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in Paragraph **c.** below.

b. Excess Insurance

This insurance is excess over any of the other insurance, whether primary, excess, contingent or on any other basis that is effective prior to the beginning of the policy period shown in the Declarations of this insurance and applies to "bodily injury" or "property damage" included within the "products-completed operations hazard" on other than a claims-made basis, if:

- (1) No Retroactive Date is shown in the Declarations of this insurance; or
- (2) The other insurance has a policy period which continues after the Retroactive Date shown in the Declarations of this insurance.

When this insurance is excess, we will have no duty to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

When this insurance is excess over other insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:

- (a) The total amount that all such other insurance would pay for the loss in the absence of this insurance; and

- (b) The total of all deductible and self-insured amounts under all that other insurance.

We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of this Coverage Part.

c. Method Of Sharing

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

5. Premium Audit

- a. We will compute all premiums for this Coverage Part in accordance with our rules and rates.
- b. Premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.
- c. The first Named Insured must keep records of the information we need for premium computation, and send us copies at such times as we may request.

6. Representations

By accepting this policy, you agree:

- a. The statements in the Declarations are accurate and complete;
- b. Those statements are based upon representations you made to us; and
- c. We have issued this policy in reliance upon your representations.

7. Separation Of Insureds

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this Coverage Part to the first Named Insured, this insurance applies:

- a. As if each Named Insured were the only Named Insured; and
- b. Separately to each insured against whom claim is made or "suit" is brought.

8. Transfer Of Rights Of Recovery Against Others To Us

If the insured has rights to recover all or part of any payment we have made under this Coverage Part, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

9. When We Do Not Renew

If we decide not to renew this Coverage Part, we will mail or deliver to the first Named Insured shown in the Declarations written notice of the nonrenewal not less than 30 days before the expiration date.

If notice is mailed, proof of mailing will be sufficient proof of notice.

10. Your Right To Claim And Occurrence Information

We will provide the first Named Insured shown in the Declarations the following information relating to this and any preceding products/completed operations liability claims-made Coverage Part we have issued to you during the previous three years:

- a. A list or other record of each "occurrence", not previously reported to any other insurer, of which we were notified in accordance with Paragraph 2.a. of the Section IV – Duties In The Event Of Occurrence, Claim Or Suit Condition. We will include the date and brief description of the "occurrence" if that information was in the notice we received.
- b. A summary by policy year, of payments made and amounts reserved, stated separately, under the Aggregate Limit.

Amounts reserved are based on our judgment. They are subject to change and should not be regarded as ultimate settlement values.

You must not disclose this information to any claimant or any claimant's representative without our consent.

If we cancel or elect not to renew this Coverage Part, we will provide such information no later than 30 days before the date of policy termination. In other circumstances, we will provide this information only if we receive a written request from the first Named Insured within 60 days after the end of the policy period. In this case, we will provide this information within 45 days of receipt of the request.

We compile claim and "occurrence" information for our own business purposes and exercise reasonable care in doing so. In providing this information to the first Named Insured, we make no representations or warranties to insureds, insurers, or others to whom this information is furnished by or on behalf of any insured. Cancellation or nonrenewal will be effective even if we inadvertently provide inaccurate information.

SECTION V
EXTENDED REPORTING PERIODS

1. We will provide one or more Extended Reporting Periods, as described below, if:
 - a. This Coverage Part is cancelled or not renewed; or
 - b. We renew or replace this Coverage Part with insurance that:
 - (1) Has a Retroactive Date later than the date shown in the Declarations of this Coverage Part; or
 - (2) Does not apply to "bodily injury" or "property damage" on a claims-made basis.
2. Extended Reporting Periods do not extend the policy period or change the scope of coverage provided. They apply only to claims for "bodily injury" or "property damage" that occurs before the end of the policy period but not before the Retroactive Date, if any, shown in the Declarations. Once in effect, Extended Reporting Periods may not be cancelled.
3. A Basic Extended Reporting Period is automatically provided without additional charge. This period starts with the end of the policy period and lasts for:
 - a. Five years with respect to claims because of "bodily injury" and "property damage" arising out of an "occurrence" reported to us, not later than 60 days after the end of the policy period, in accordance with Paragraph 2.a. of the Section IV – Duties In The Event Of Occurrence, Claim Or Suit Condition; and
 - b. Sixty days with respect to claims arising from "occurrences" not previously reported to us.

The Basic Extended Reporting Period does not apply to claims that are covered under any subsequent insurance you purchase, or that would be covered but for exhaustion of the amount of insurance applicable to such claims.

4. The Basic Extended Reporting Period does not reinstate or increase the Limits of Insurance.
5. A Supplemental Extended Reporting Period of unlimited duration is available, but only by an endorsement and for an extra charge. This supplemental period starts when the Basic Extended Reporting Period, set forth in Paragraph 3. above, ends.

You must give us a written request for the endorsement within 60 days after the end of the policy period. The Supplemental Extended Reporting Period will not go into effect unless you pay the additional premium promptly when due.

We will determine the additional premium in accordance with our rules and rates. In doing so, we may take into account the following:

- a. The exposures insured;
- b. Previous types and amounts of insurance;
- c. Limits of Insurance available under this Coverage Part for future payment of damages; and
- d. Other related factors.

The additional premium will not exceed 200% of the annual premium for this Coverage Part.

This endorsement shall set forth the terms, not inconsistent with this section, applicable to the Supplemental Extended Reporting Period, including a provision to the effect that the insurance afforded for claims first received during such period is excess over any other valid and collectible insurance available under policies in force after the Supplemental Extended Reporting Period starts.

6. If the Supplemental Extended Reporting Period is in effect, we will provide a supplemental aggregate limit of insurance described below, but only for claims first received and recorded during the Supplemental Extended Reporting Period.

The supplemental aggregate limit of insurance will be equal to the dollar amount shown in the Declarations in effect at the end of the policy period for the Aggregate Limit.

Paragraph 2. of Section III – Limits Of Insurance will be amended accordingly. The Each Occurrence Limit shown in the Declarations will then continue to apply, as set forth in Paragraph 3. of that section.

**SECTION VI
DEFINITIONS**

1. "Auto" means:

- a.** A land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or
- b.** Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

2. "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.

3. "Coverage territory" means:

- a.** The United States of America (including its territories and possessions), Puerto Rico and Canada;
- b.** International waters or airspace, but only if the injury or damage occurs in the course of travel or transportation between any places included in Paragraph **a.** above; or
- c.** All other parts of the world if the injury or damage arises out of goods or products made or sold by you in the territory described in Paragraph **a.** above;

provided the insured's responsibility to pay damages is determined in a "suit" on the merits, in the territory described in Paragraph **a.** above or in a settlement we agree to.

4. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".

5. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.

6. "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:

- a.** It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or
- b.** You have failed to fulfill the terms of a contract or agreement;

if such property can be restored to use by the repair, replacement, adjustment or removal of "your product" or "your work" or your fulfilling the terms of the contract or agreement.

7. "Insured contract" means:

- a.** A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";
- b.** A sidetrack agreement;
- c.** Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;
- d.** An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
- e.** An elevator maintenance agreement;
- f.** That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph **f.** does not include that part of any contract or agreement:

- (1)** That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, roadbeds, tunnel, underpass or crossing;
- (2)** That indemnifies an architect, engineer or surveyor for injury or damage arising out of:
 - (a)** Preparing, approving, or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings and specifications; or
 - (b)** Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or
- (3)** Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured's rendering or failure to render professional services, including those listed in Paragraph **(2)** above and supervisory, inspection, architectural or engineering activities.

8. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

9. "Loading or unloading" means the handling of property:

- a. After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";
- b. While it is in or on an aircraft, watercraft or "auto"; or
- c. While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;

but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".

10. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

- a. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
- b. Vehicles maintained for use solely on or next to premises you own or rent;
- c. Vehicles that travel on crawler treads;
- d. Vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:

- (1) Power cranes, shovels, loaders, diggers or drills; or
- (2) Road construction or resurfacing equipment such as graders, scrapers or rollers;

e. Vehicles not described in Paragraph a., b., c. or d. above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:

- (1) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or
- (2) Cherry pickers and similar devices used to raise or lower workers;

f. Vehicles not described in Paragraph a., b., c. or d. maintained primarily for purposes other than the transportation of persons or cargo.

However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

(1) Equipment designed primarily for:

- (a) Snow removal;
- (b) Road maintenance, but not construction or resurfacing; or
- (c) Street cleaning;

(2) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and

(3) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

However, "mobile equipment" does not include land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law are considered "autos".

11. "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.

12. "Products-completed operations hazard":

a. Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:

- (1) Products that are still in your physical possession; or
- (2) Work that has not yet been completed or abandoned. However, "your work" will be deemed completed at the earliest of the following times:
 - (a) When all of the work called for in your contract has been completed.
 - (b) When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.

- (c) When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

- b. Does not include "bodily injury" or "property damage" arising out of:
 - (1) The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured;
 - (2) The existence of tools, uninstalled equipment or abandoned or unused materials; or
 - (3) Products or operations for which the classification, listed in the Declarations or in a policy Schedule, states that products/completed operations are included.

13. "Property damage" means:

- a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or
- b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

For the purposes of this insurance, electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from, computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

- 14. "Suit" means a civil proceeding in which damages because of "bodily injury" or "property damage" to which this insurance applies are alleged. "Suit" includes:**
 - a. An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or

- b. Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

15. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

16. "Your product":

- a. Means:
 - (1) Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:
 - (a) You;
 - (b) Others trading under your name; or
 - (c) A person or organization whose business or assets you have acquired; and
 - (2) Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.
- b. Includes:
 - (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and
 - (2) The providing of or failure to provide warnings or instructions.
- c. Does not include vending machines or other property rented to or located for the use of others but not sold.

17. "Your work":

- a. Means:
 - (1) Work or operations performed by you or on your behalf; and
 - (2) Materials, parts or equipment furnished in connection with such work or operations.
- b. Includes:
 - (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and
 - (2) The providing of or failure to provide warnings or instructions.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – PROHIBITED SUBSTANCES, INGREDIENTS AND ADDITIVES

The following exclusion is added to the policy:

This insurance does not apply to any claim for bodily Injury, property damage, personal and advertising injury arising out of, resulting from, caused by, contributed to by, or in any way related to the manufacture, processing, compounding, formulation, distribution, sale, disposal, testing, handling, labeling, marketing, advertising, application, ingestion, consumption, inhalation, exposure to, or use of any prohibited substance, ingredient, or additive described in the schedule.

SCHEDULE

Designated Product(s):

Any product that contains, consists of, is derived from, or incorporates any

1. Acetyl propionyl (2,3-pentanedione)
2. Diacetyl, acetoin, butanedione, 2,3-pentanedione, and related diketones
3. Anabolic-androgenic steroids, anabolic agents, steroid precursors, and selective androgen receptor modulators (SARMs), including androstenedione
4. Aristolochia species and aristolochic acids
5. Beta-methylphenethylamine (BMPEA) and related analogues
6. Bitter Orange (Citrus aurantium), including synephrine
7. Chaparral (Larrea divaricata)
8. Comfrey and pyrrolizidine alkaloids
9. DMAA, DMBA, DMHA, AMP, octodrine, methylhexanamine, and related stimulant compounds
10. Ephedra, Ma Huang, ephedrine alkaloids, pseudoephedrine, and related sympathomimetic compounds
11. Gamma-hydroxybutyrate (GHB)
12. Gamma-butyrolactone (GBL)
13. 1,4-butanediol
14. Germander
15. Germanium
16. Glyburide, glibenclamide, Liqiang-type compounds, and unlabeled or undisclosed antidiabetic agents
17. Higenamine, norcoclaurine, and related isoquinoline alkaloids
18. Hormone replacement therapies of any kind
19. Jin Bu Huan
20. Kava, Ava, Kava-kava (Piper methysticum), and related derivatives
21. Kratom (Mitragyna speciosa), mitragynine, and 7-hydroxymitragynine
22. Lobelia species
23. Magnolia species
24. Stephania species and adulterated botanicals
25. Corydalis species and adulterated botanicals
26. Organ or glandular extracts
27. Pennyroyal oil
28. Picamilon and related compounds
29. Tianeptine
30. Phenibut and related analogues
31. Vitamin E and Vitamin E acetate when used in inhalable products

32. Diethylene glycol
33. Polyethylene glycol
34. Propylene glycol
35. Triethyl citrate
36. Squalene and squalane
37. Pulegone
38. Acrolein
39. Acrylonitrile
40. Limonene, except when naturally occurring, not added as an ingredient, and not inhaled
41. Yohimbe
42. Sibutramine
43. Ephedrine analogues, amphetamine analogues, and structurally or pharmacologically similar compounds
44. Hemp-derived cannabinoids, including any cannabinoid or THC isomer derived from hemp that may cause intoxication or impairment

This exclusion also applies to any derivative, analogue, botanical equivalent, extract, isolate, synthetic equivalent, or chemically similar compound of any Prohibited Substance, Ingredient, or Additive.

This exclusion applies regardless of:

- a. The name under which the substance is manufactured, marketed, distributed, or sold;
- b. Whether the substance is used alone or in combination with any other ingredient;
- c. The quantity, concentration, dosage, or proportion of the substance; or
- d. Whether the substance directly or indirectly caused or is alleged to have caused the Bodily Injury, Property Damage, or Personal and Advertising Injury.

State Law Override & Severability:

If any provision of this endorsement, or any substance listed in Schedule A or Schedule B, is determined by a court or regulatory authority of competent jurisdiction to be invalid, unenforceable, or prohibited under applicable state law, such provision shall be deemed amended solely to the minimum extent necessary to comply with such law, without invalidating or impairing the remaining provisions of this endorsement.

CANNABIS PRODUCT HEALTH HAZARD ENDORSEMENT

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

This endorsement modifies insurance provided under the following:

COMMERCIAL LIABILITY COVERAGE PART PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

Subject to the terms, conditions, limitations, and exclusions of this policy, this insurance applies to Bodily Injury or Property Damage arising out of the manufacture, distribution, sale and/or consumption of any **"Cannabis Product."**

A. ASSUMPTION OF RISK AND INHERENT EFFECTS

This insurance does not apply to Bodily Injury arising or alleged to arise solely out of the **"Inherent Effects"** of a **"Cannabis Product."**

Coverage is provided when all of the following conditions are met:

1. The **"Cannabis Product"** was lawfully manufactured, tested, labeled, and sold in compliance with applicable state and local law;
2. Required warnings, disclosures, dosage and serving instructions were provided at time of purchase;
3. The claimant voluntarily and knowingly consumed or used the **"Cannabis Product."**

This provision does not apply to Bodily Injury arising out of or alleged to arise out of product contamination, foreign substances, or manufacturing defects unrelated to the **"Inherent Effects"** of cannabis.

B. EXCLUSIONS

This insurance does not apply to:

1. Failure to Warn or Inadequate Warning and Mis-labeling

Bodily Injury arising out of or alleged to arise out of the mis-labeling, incorrect labeling, or failure to provide warnings, instructions, or disclosures required by law, but only to the extent such failure results from **"Non-Compliant Conduct."**

This exclusion does not apply to Bodily Injury arising out of or alleged to arise out of inadequate warnings where the insured complied with applicable labeling and disclosure requirements.

2. Therapeutic or Health Benefit Representations

Bodily Injury arising out of or alleged to arise out of any **"Therapeutic Claim"** made by or on behalf of the insured.

3. Long Term or Cumulative Health Hazards

Bodily Injury arising out of or alleged to arise out of any **"Health Hazard"** alleged to result from **"Long Term Exposure"** to **"Cannabis Product(s)."**

4. Misuse, Overconsumption, or Prohibited Use

Bodily Injury arising out of or alleged to arise out of consumption or use of a **"Cannabis Product":**

- a. in excess of labeled dosage or serving size;
- b. contrary to provided warnings or instructions;
- c. by any person prohibited from lawful use under applicable law;
- d. while operating a motor vehicle, machinery, or equipment.

5. Misrepresentation or Deceptive Practices

Bodily Injury or any claim for damages arising out of or alleged to arise out of any false, misleading, or deceptive statements, representations or warranties, whether express or implied, regarding the safety, potency, effects, or health implications of **"Cannabis Product(s)."**

6. Mental Injury, Psychosis, and Dependency

Bodily Injury or any claim for damages arising out of or alleged to arise out of any **"Mental Injury"** or **"Dependency."**

This exclusion applies regardless of whether the **"Mental Injury"** or **"Dependency"** is alleged to have resulted from a single use, short-term use, or long-term use of a **"Cannabis Product,"** and regardless of any temporal relationship between consumption and the onset of symptoms or the date of diagnosis.

This exclusion applies regardless of whether any **"Mental Injury"** or **"Dependency"** is accompanied by, results in, or is alleged to have caused physical injury, and regardless of whether a formal diagnosis has been made.

7. Prior Manifestation

Bodily Injury or Property Damage arising out of or alleged to arise out of any illness, disease, condition, event, or injury that **"Manifested,"** in whole or in part, prior to the inception date of this policy, or prior to the retroactive date shown in the Declarations, whichever is earlier.

For purposes of this exclusion:

- a. A condition shall be deemed to have **"Manifested"** before the **"Prior Manifestation Date"** if:

1. Any observable signs, symptoms, or physical evidence of the illness, disease, condition, event, or injury existed, was experienced, or was documented prior to the **"Prior Manifestation Date,"** even if not diagnosed or attributed to the use of a **"Cannabis Product"** until after such date; or
 2. Medical records, pharmacy records, employment records, or any other documentation reflect treatment, consultation, or complaints related to the illness, disease, condition, event, or injury before the **"Prior Manifestation Date;"** or
 3. The illness, disease, condition, event, or injury is a continuation, progression, recurrence, or exacerbation of a condition that first **"Manifested"** prior to the **"Prior Manifestation Date."**
- b. This exclusion applies regardless of when the claim is first made or reported, and regardless of when the claimant first attributes the illness, disease, condition, event, or injury to the use of a **"Cannabis Product."**

C. DEFINITIONS

The following definitions apply to this endorsement and supersede any conflicting definitions in the policy.

1. **"Cannabis Product"** means any product containing cannabis, marijuana, tetrahydrocannabinol (THC), cannabidiol (CBD), or any cannabinoid and its analogues, including **"Hemp,"** whether naturally derived or synthesized, that is lawfully manufactured, distributed, and sold in accordance with applicable state law. **"Cannabis Product"** does not include any **"Intoxicating Hemp Product."**
2. **"Dependency"** means cannabis use disorder or any physiological or psychological dependence on any **"Cannabis Product,"** including but not limited to any clinical condition characterized by tolerance, withdrawal, impaired control over use, craving, or continued use despite adverse physical, psychological, social, or occupational consequences, whether or not formally diagnosed, and whether described as cannabis use disorder, substance use disorder, addiction,

or any similar condition listed in the Diagnostic and Statistical Manual of Mental Disorders (DSM) or equivalent diagnostic criteria. **"Dependency"** includes all forms of physiological or behavioral dependence arising from any pattern of use of a **"Cannabis Product,"** regardless of the duration, frequency, or quantity of use.

3. **"Health Hazard"** means any actual or alleged adverse physical or mental health condition, disease, illness, or bodily disorder, including but not limited to cancer, neurological injury, respiratory disease, reproductive harm, developmental impairment, or cognitive decline, but does not include transient or temporary effects that fall within the definition of **"Inherent Effects."**
4. **"Hemp"** means cannabis that contains a THC concentration of 0.3 percent or less on a dry weight basis and that otherwise conforms with Section 10113 of the Farm Bill of 2018.

5. **"Inherent Effects"** means the ordinary, expected, and generally recognized psychoactive, intoxicating, sensory, or physiological effects that naturally result from the intended and lawful use of a **"Cannabis Product,"** which are intrinsic to the nature of cannabis and commonly known to a reasonable consumer at the time of use. **"Inherent Effects"** include, but are not limited to, impairment, altered perception, changes in mood or cognition, sedation, stimulation, euphoria, anxiety, dizziness, and temporary changes in coordination or reaction time.

6. **"Intoxicating Hemp Product"** means any **"Cannabis Product"** derived from **"Hemp"** that, regardless of the concentration of THC or Tetrahydrocannabinolic acid (THCA) within the product, contains THC, THCA, or isomers of THC, including but not limited to delta-8 THC or delta-10 THC, in an amount that may cause intoxication when the product is consumed as directed or suggested on the product's label, marketing, or advertising.

7. **"Long Term Exposure"** means repeated, cumulative, or continuous consumption, inhalation, ingestion, absorption, or other use of a **"Cannabis Product"** over a period of time, rather than a single, identifiable incident.

8. **"Manifested"**

or **"Manifests"** means any observable signs, symptoms, or physical evidence that any illness, disease, condition, event, or injury has become apparent in an individual, whether or not a formal diagnosis is made, and whether or not the individual is aware of the cause or full extent of the condition.

9. **"Mental Injury"** means any psychiatric, psychological, neuropsychiatric, or emotional illness, condition, disorder, or injury, including but not limited to psychosis, cannabis-induced psychosis or

psychotic disorder, substance-induced psychosis or psychotic disorder, schizophrenia, schizoaffective disorder, anxiety disorder, panic disorder, depressive disorder, bipolar disorder, depersonalization-derealization disorder, emotional distress, or mental anguish, and regardless of whether such condition (1) is sudden-onset, recurring, or chronic; (2) is accompanied by or results in physical injury; (3) is listed in the Diagnostic and Statistical Manual of Mental Disorders (DSM); (4) is alleged to have caused, contributed to, triggered, unmasked, or exacerbated a latent or pre-existing mental health condition; or (5) is alleged to have resulted from a single use, short-term use, or long-term use of a **"Cannabis Product,"** and regardless of any temporal relationship between consumption and when any mental illness, disease, condition, event, or injury **"Manifests."** **"Mental Injury"** does not include transient or temporary effects that fall within the definition of **"Inherent Effects."**

10. **"Non-Compliant Conduct"** means any act or omission by the insured that violates applicable cannabis statutes, regulations, testing requirements, labeling rules, packaging mandates, or advertising restrictions in the jurisdiction where the **"Cannabis Product"** is manufactured or sold.

11. **"Prior Manifestation Date"** means the inception date of this policy or the Retroactive Date shown in the Declarations, whichever is earlier.

12. **"Therapeutic Claim"** means any express or implied statement, representation, or suggestion that a **"Cannabis Product"** diagnoses, treats, cures, mitigates, or prevents disease or medical conditions, except as permitted under applicable state medical cannabis law.

D. SEVERABILITY OF INSURED COMPLIANCE

The application of this endorsement shall be determined separately for each insured. **"Non-Compliant Conduct"** by one insured will not bar coverage for another insured who did not participate in or have knowledge of such conduct.

E. NON-ILLUSORY COVERAGE CLAUSE

Nothing in this endorsement is intended to eliminate all coverage for **"Cannabis Product(s)."** Coverage remains in effect for claims alleging Bodily Injury or Property Damage arising out of the manufacture, distribution, sale and/or consumption of any **"Cannabis Product,"** subject to the exclusions and limitations set forth herein.

F. RETROACTIVE DATE

No coverage is provided under this endorsement for any Bodily Injury or Property Damage arising out of any incident, event, condition, or exposure that occurred, began, or first manifested prior to the Retroactive Date shown in the Declarations, regardless of when the claim is first made or reported.

All other terms and conditions of this policy remain unchanged.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SUPPLEMENTARY PAYMENTS WITHIN LIMITS OF INSURANCE

This endorsement modifies insurance provided under the following:

PRODUCTS COMPLETED OPERATIONS LIABILITY COVERAGE PART

The SUPPLEMENTARY PAYMENTS provision of form C 05 GL 400 is deleted and replaced by the following:

1. We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:

- a. All expenses we incur.
- b. The cost of bonds to release attachments, but only for bond amounts within the applicable Limit of Insurance. We do not have to furnish these bonds.
- c. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$250 a day because of time off from work.
- d. All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.
- e. Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable Limit of Insurance, we will not pay any prejudgment interest based on that period of time after the offer.
- f. All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable Limit of Insurance.

2. All payments described in Paragraph 1. above, together with all attorneys' fees and all investigation, adjustment, defense and litigation costs and expenses we incur, are included within, will reduce, and are not in addition to, the applicable Limits of Insurance shown in the Declarations.

3. Our right and duty to defend end when we have used up the applicable Limit of Insurance in the payment of judgments or settlements, or in the payments described in Paragraphs 1. and 2. above. Upon such exhaustion, we will have the right to withdraw from the further investigation, defense or settlement of any claim or "suit", and we will tender the control of any outstanding claim or "suit" to the insured.

All other terms and conditions of this Policy remain unchanged.